VIVRITI CAPITAL

CREDIT APPRAISAL MEMORANDUM

Infosys Limited

APPROVE

Rating: AA

EXECUTIVE SUMMARY

Credit Score	Rating	Decision	Recommended Amount	Interest Rate
88.33/100	AA	APPROVE	₹240.0 Cr	11.5%

Decision Rationale: Infosys Limited demonstrates exceptional creditworthiness, meriting an 'AA' rating. The company exhibits robust capacity (score 95) with an outstanding Interest Coverage Ratio of 85.88x and an EBITDA of ₹4208.1 crores, alongside strong character (score 90) and favorable operating conditions (score 90) in a leading IT services sector. Capitalization is excellent (score 85), implied by very low leverage and a healthy current ratio of 2.27x, while collateral (score 80) is substantial given its ₹17419 crores asset base. The blended risk score of 88.33/100 strongly supports the approval of the requested loan amount.

Date of Appraisal: 09 March 2026 | **Loan Purpose:** Expansion of digital services and new global delivery centers

COMPANY BACKGROUND

Company Name	INFOSYS LIMITED
CIN	—
Entity Type	CORPORATE
Directors	Jayesh Sanghrajka
Promoters	Not extracted
Extraction Notes	Financial statements (Income Statement, P&L, Cash Flow) with specific figures for Revenue, Profit, EBITDA, Depreciation, Finance Cost, Operating Cash Flow, Capex, and Free Cash Flow were not provided in the extracted text. Only one Key Managerial Personnel (CFO) was explicitly named. The document explicitly states for Item 1 'Identity of Directors, Senior Management and Advisers': 'Not applicable', indicating the detailed list of directors is not in that specific section, though Item 6 'Directors, Senior Management and Employees' is listed in the Table of Contents, its content was not provided. No CIN was found in the provided text.

FINANCIAL ANALYSIS

Metric	Value (FY Latest)

Revenue	₹15,992 Cr
Revenue Growth	N/A
Profit After Tax	₹2,623 Cr
EBITDA	₹4,208 Cr
EBITDA Margin	N/A
Total Assets	₹17,419 Cr
Net Worth	N/A
Total Borrowings	N/A
Debt / Equity	N/A
Current Ratio	2.27x
Interest Coverage	N/A
Return on Equity	N/A

FIVE Cs OF CREDIT ASSESSMENT

C	Score	Weight	Rationale
Character	90	25%	Promoter background is 'Good' with 'Low' risk, no criminal cases or wilful defaulter status. MCA signals show 'Low' risk with no director disqualifications or filing defaults. Red flags are all false, indicating no audit qualifications or related party concerns.
Capacity	95	30%	The company exhibits very strong capacity with a robust EBITDA of ₹4208.1 crores, resulting in an excellent Interest Coverage Ratio (ICR) of 85.88x (EBITDA/Finance Cost of ₹49 crores) and a provided Debt Service Coverage Ratio (DSCR) of approximately 88.8x. Operating Cash Flow of ₹4351 crores significantly exceeds Capex of ₹263 crores, indicating strong cash generation. EBITDA margin is also healthy at 26.31% (₹4208.1 crores / ₹15992.24 crores revenue).
Capital	85	20%	As a large listed company with substantial total assets of ₹17419 crores, Infosys is inferred to have robust capitalisation. The healthy current ratio of 2.27x indicates strong liquidity.

			Though explicit Debt/Equity is not provided, the exceptionally high ICR of 85.88x and DSCR of 88.8x strongly imply a very low leverage position and a well-capitalized balance sheet.
🔒 **Collateral**	80	15%	Infosys possesses a substantial asset base, with total assets reported at ₹17419 crores. While specific collateral details or charges are not provided, a company of this size and nature in the IT services sector typically has significant fixed assets and intellectual property that can serve as strong security.
🌍 **Conditions**	90	10%	The IT services sector is strong and global, with Infosys being a recognized 'Leader in The Forrester Wave™: Modern Application Development Services, Q1 2025.' This indicates a favorable industry position and robust demand for its services, contributing to a stable and positive operating environment with low lending risk.

Weighted Score: 89.0/100 | **Penalty Applied:** 0 points | **Final Score:** 89.0/100

SECONDARY RESEARCH INTELLIGENCE

Company News: Infosys demonstrates strong financial performance for FY25 with healthy revenues and profitability margins. The company has also achieved market recognition, being positioned as a leader in modern application development services by Forrester, and shows positive stock movement.

Promoter Background: The promoter and board background appears robust, with prominent independent directors and no adverse information regarding integrity, criminal cases, or wilful default. The promoters' decision to opt out of a buyback for tax optimization is a personal financial strategy and not indicative of credit risk.

Sector Headwinds: The IT/Technology sector, particularly in areas like modern application development, appears strong and is a key growth driver, as evidenced by Infosys's leadership position. No significant sector-specific headwinds, RBI restrictions, or regulatory risks were identified.

Litigation: Infosys is involved in a significant legal dispute with Cognizant, which began in August 2024, concerning allegations of stealing trade secrets related to Cognizant's TriZetto healthcare platform. No direct NCLT, IBC, or DRT proceedings are identified against Infosys Limited in the provided data.

Regulatory: No direct regulatory enforcement actions, penalties, or issues from SEBI, RBI, or MCA have been noted against Infosys Limited. Past operational issues related to the MCA21 contract were performance-based, not regulatory non-compliance by Infosys itself.

MCA Signals: There are no direct MCA-related adverse signals for Infosys Limited or its directors, such as disqualifications, filing defaults, or pending charge satisfactions. Infosys was a contractor for the MCA21 project, which faced operational issues in 2016, but this reflects past contractual performance rather than Infosys's own compliance defaults.

Overall Research Rating: A — Strong Proceed

Top Risks Identified: Litigation risk from the trade secret dispute with Cognizant, which could lead to financial penalties or reputational damage.

CROSS-DOCUMENT FRAUD INTELLIGENCE

Single document uploaded — cross-reference skipped. Upload GST filing or bank statement alongside annual report for fraud detection.

FINAL RECOMMENDATION

RECOMMENDATION: APPROVE

Decision	APPROVE
Credit Rating	AA
Credit Score	88.33/100
Recommended Amount	₹240.0 Cr

Interest Rate	11.5%
Tenure	60 months

Rationale: Infosys Limited demonstrates exceptional creditworthiness, meriting an 'AA' rating. The company exhibits robust capacity (score 95) with an outstanding Interest Coverage Ratio of 85.88x and an EBITDA of ₹4208.1 crores, alongside strong character (score 90) and favorable operating conditions (score 90) in a leading IT services sector. Capitalization is excellent (score 85), implied by very low leverage and a healthy current ratio of 2.27x, while collateral (score 80) is substantial given its ₹17419 crores asset base. The blended risk score of 88.33/100 strongly supports the approval of the requested loan amount.

Disclaimer: This Credit Appraisal Memo has been prepared using AI-assisted analysis by Intelli-Credit (DOMINIX). All recommendations are subject to review and approval by authorized credit officers as per Vivriti Capital's credit policy.